

ANI

OLD IS GOLD?
An anti-NPS protest by Himachal Pradesh government staff in Mandi, Feb. 23

given statutory status in 2011.

At the time of retirement, an employee can withdraw 60 per cent of the corpus but is required to invest at least 40 per cent to purchase an annuity from an insurance firm regulated by the government authorities. The interest on the annuity is to be provided as monthly pension to the employee. While in the old system, the pension was defined—50 per cent of last salary drawn—in NPS, the benefits are determined by factors such as amount contributed, age of joining, type of investment and returns on investment.

The NDA government gave further incentives to individuals with tax rebates for investing Rs 50,000 in the NPS. Considered one of the lowest cost pension products in the world, it now has over 15 million subscribers (see *The NPS Network*). Several NPS funds claim to give much better returns than what fixed deposits and the Employees' Provident Fund (EPF) offer currently.

However, a big section of government employees still feel the old pension system was more beneficial to them. They argue that for those retiring after 10-12 years, the accumulated money under NPS is too little and hence does not provide a substantial amount as pension. There is also the mistrust in market-linked schemes, and the fear that they may lose heavily if the market crashes at the time of their retirement. The pandemic-hit economy has done little to inspire hope. That the armed forces are still covered under the old scheme is also grating.

Economic experts, however, point to how the NPS has not only reduced the pension bill but also discouraged government practices such as reducing the number of recruits and filling up vacancies with contractual employees to avoid incurring expenses on pension.

Between April 1, 2016, and March 31, 2021, 1,718 employees of Rajasthan government retired under the NPS. But most of them were in low-grade jobs, appointed on compassionate grounds at a late age. Government sources claim most of these employees got Rs 5,000-8,000 less pension than what they would have got under the old scheme. However, for most of those who joined after 2004 and will start retiring after 2030, it's not yet clear what their final pension amount will be.

EMPLOYEES ARE WARY OF THE FACT THAT NPS IS MARKET-LINKED, FEARING THEY MAY LOSE HEAVILY IF THERE IS A CRASH

For now, Gehlot's announcement will cost the state exchequer nothing. The actual liability of the scheme will be felt after 2030 when the 2004 batch begins retiring. The state is yet to work out the modalities to shift the current contributory scheme to the previous one and, in a way, will defer its contributory liability of Rs 889 crore in the next financial year. The state's pension bill for 2021-22 was Rs 25,328 crore.

Speculation is rife that Gehlot, who has launched a series of populist schemes in the past two years (adding heavily to state expenses), is planning an early election. The chief minister is unruffled by criticism that he is pushing the state into a fiscal crisis. "My previous three budgets were also election budgets. I have been readying for polls the day I took over," he says. He even admits the Congress victories in six of the eight assembly byelections and local body polls in the past three years were due to these measures. Perhaps political gains matter more than fiscal prudence. And he is not alone, as the many states mulling the growing demand for the old pension system indicate. ■